NVIDIA Beat Everything. This Time, the Stock Is Up. Here's What Changed.

Jensen disclosed a first-ever full-year forward guide. FY2028E consensus jumped $36 billion overnight. $45 billion of revision remains.



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The Curse

On four consecutive earnings days, Q2 FY2026 through Q1 FY2027, NVIDIA beat revenue consensus, beat EPS, raised guidance, and sold off. The average decline five trading days after the print was -4.9%. The pattern held regardless of beat magnitude.

Q4 FY2026: revenue of $68 billion, up 73% YoY. Record. The stock dropped. Q1 FY2027: revenue of $81.6 billion, up 85%. Another record. The stock closed at $223.47 on May 20. Five weeks later, it sat at $200.04.

The previous post (*NVIDIA Beat Everything. The Stock Is Down. Why.)* laid out the thesis: the selloff wasn't analytical. It was structural. NVIDIA had hit a positional ceiling: 78% active institutional ownership, 8.3% of the S&P 500, and the methodology gap between what management disclosed and what sell-side models could actually anchor to was unbridgeable. Analysts needed a 10-Q line item to build a segment model. The new revenue drivers, Vera CPU, sovereign AI, physical AI, NeoCloud, had no reporting architecture to support one. The blank cells couldn't be filled

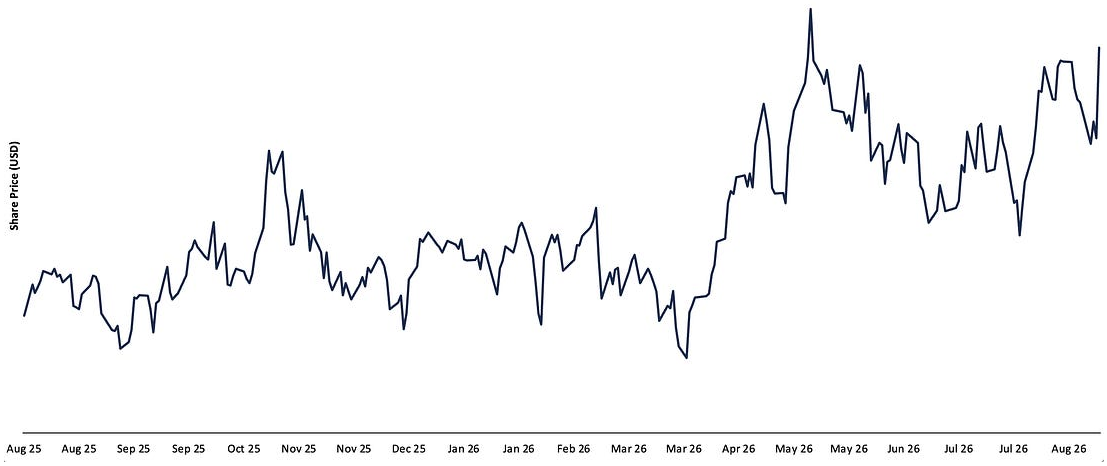
with conviction, so consensus structurally lagged reality. That gap was never large enough to override the post-earnings selling pressure.

Four for four. Then Q2 FY2027.

On August 26, NVIDIA reported after the close. Revenue: $96.2 billion. The stock closed at $209.66, down 1.59% on the session. Pre-market August 27: $223.38, up 6.54%.

By the close on August 27: $227.98, up 8.7%.

The curse broke.

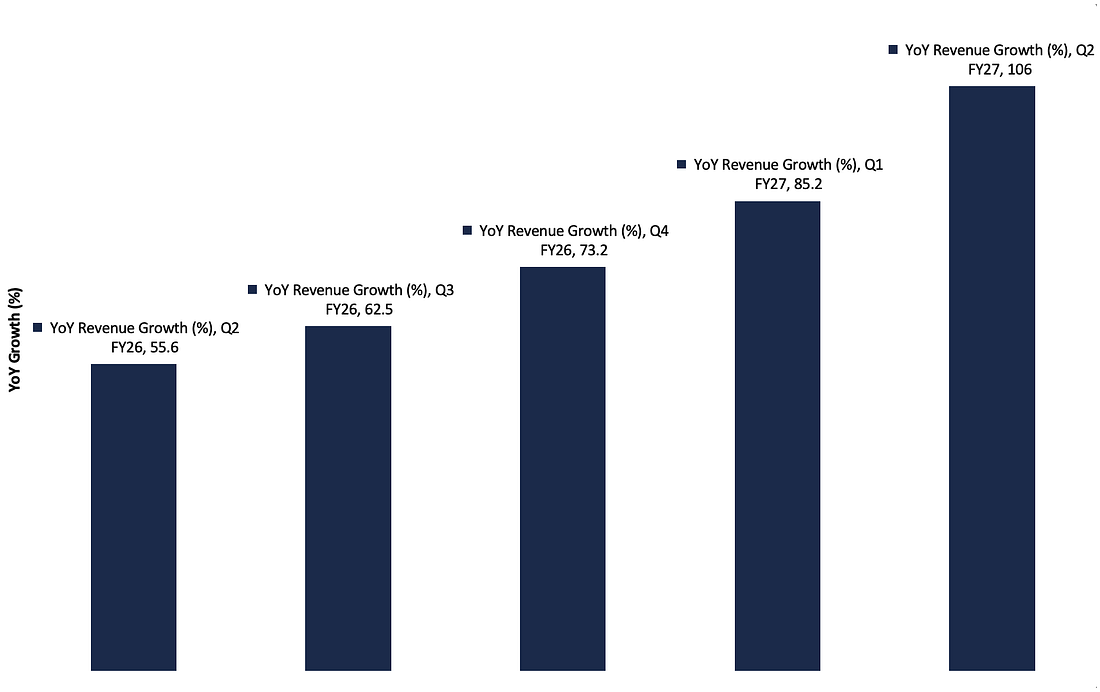


NVIDIA (NVDA) 1-Year Price Action (USD), Aug 2025 – Aug 2026. Source: LSEG Historical Data.

What Changed: The Guidance Gap

Start with the quarter. Revenue of $96.2 billion, approximately 106% YoY growth against Q2 FY2026 actuals of $46.7 billion. That is the fourth consecutive quarter of accelerating YoY growth: from 55.6% in

Q2 FY26 to 62.5% in Q3 FY26, 73.2% in Q4, 85.2% in Q1 FY27, now 106%.



NVIDIA Year-over-Year Revenue Growth by Quarter, Q2 FY2026 – Q2 FY2027. Fourth consecutive quarter of accelerating growth: 55.6% → 62.5% → 73.2% → 85.2% → 106%. Source: NVIDIA quarterly earnings reports.

Non-GAAP gross margin held at 75.0%. Data Center revenue split: Hyperscale $49 billion, up 13% sequentially; ACIE $40 billion, up 25% sequentially and 138% year-over-year.

The quarterly beat was solid. It was not unusual. The Q3 guide of $108 billion, plus or minus 2%, exceeded street consensus of approximately $104 billion. A beat, but one that matched the top end of the whisper range. If that were everything, the curse probably holds. The mechanical selling fires, the stock fades, and this publication writes the same post a second time.

That was not everything.

Colette Kress, Q2 FY2027 earnings call, August 26, 2026:

> **"We expect to grow revenue by approximately 70% in fiscal 2028. This is a supply-constrained outlook."**

Then:

> **"Customers forecasts point to our growth, doubling next year. However...we expect to grow approximately 70% as we are supply constrained."**

Jensen Huang, answering Joseph Moore at Morgan Stanley:

> **"It is the case that we've never forecasted or never guided to a year in advance. And even though our demand is much greater than 70%, our supply allows us to confidently deliver 70%."**

This is NVIDIA's first-ever full-year forward revenue guide. The implications require arithmetic, not analysis.

FY2027 consensus revenue sits at approximately $401 billion (LSEG Workspace, August 27, 2026). 70% growth implies FY2028 revenue of approximately $682 billion. The LSEG mean consensus for FY2028 stood at $601 billion before the call. Within 24 hours, it jumped to $637 billion, a $36 billion revision in a single session. **The remaining gap is $45 billion.**

But that is the gap between the supply-constrained guide and the mean**. Kress said demand implies a doubling. A double on $401 billion is $802 billion.** The gap between consensus and unconstrained demand is $165 billion. Jensen is telling you the floor is 70%. **The ceiling is what they can physically build.**

The demand signal is not management optimism. Cloud industry backlog exceeds $2 trillion, OpenAI alone has committed to approximately 12 gigawatts of NVIDIA compute through 2030, and

Jensen disclosed that return on invested capital for deployed AI factories is now less than a year.

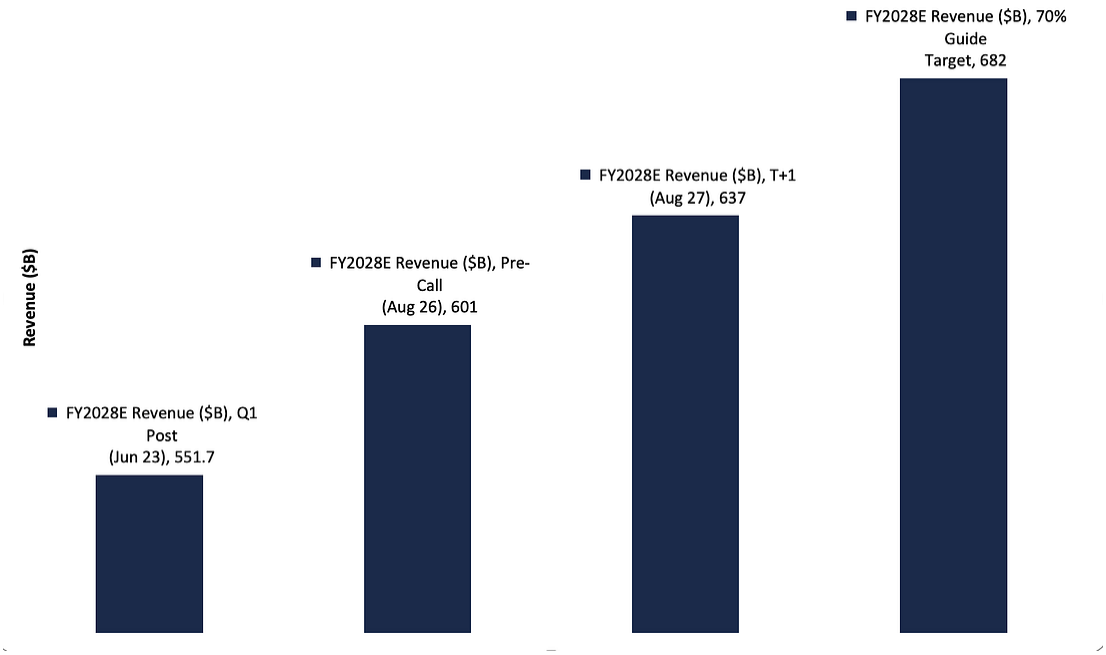
LSEG's SmartEstimate, a recency and accuracy-weighted composite that overweights the most informed analysts, already sits at $689 billion for FY2028. The predicted surprise: 8.16%. The mean moved $36 billion overnight as the fastest analysts repriced. Most haven't updated yet. FY2028 individual estimates range from $438 billion to $879 billion. Fifty-seven analysts cover the name. The dispersion alone tells you the revision cycle has not started.

Return to the previous post's central thesis: **"The gap is not information asymmetry. It is methodology."** Sell-side models are built as top-line extrapolations from quarterly guidance. A new revenue line with no prior 10-Q disclosure, no historical growth rate, no margin profile, cannot be modeled with conviction. That was the blank cell problem: Vera CPU, sovereign AI, physical AI, NeoCloud. The analyst could write in a research note that Vera CPU implies a $50 billion annual run-rate. They could not put that number in a discrete segment model because the Form 10-Q reporting architecture to support one did not yet exist.

Jensen just handed them the answer key. Not the individual segment lines. Those still don't appear in the 10-Q. Just the total. Seventy percent. Supply-constrained. The analyst no longer needs to fill each blank cell individually. Management aggregated them and guided to the sum.

This is why the stock reversed during the call. **NVIDIA was down approximately 2% on the initial earnings release.** The mechanical selling fired. The IV crush began. The same pattern as the prior four quarters was unfolding in real time. Then Jensen and Kress delivered the FY2028 guide. The fundamental surprise overwhelmed the mechanical selling for the first time. The -2% became +8.7% by the following close.

The previous post measured FY2028E consensus at $551.7 billion as of June 23. Before the call, it stood at $601 billion, a $49.3 billion revision that captured the upward extrapolation from the $91 billion Q2 guide. Within 24 hours of Jensen's FY2028 guide, the mean jumped to $637 billion. **$36 billion of revision in one session. $45 billion remains.**



FY2028E Revenue Consensus Revision Path ($B). From $551.7B (Q1 post, Jun 23) through $601B (pre-call) and $637B (T+1, Aug 27) toward management-guided $682B (70% YoY on ~$401B FY2027E). Source: LSEG Workspace forward estimates.

What Didn't Change: The Mechanical Selling Was Fully Loaded

The guidance gap explains why the stock reversed. It does not explain why it needed to reverse in the first place, why four consecutive beats produced selloffs. The positional ceiling and methodology gap,

documented in the previous post, operated over weeks. The immediate post-earnings selloff, the first one to five trading days, was driven by a separate, shorter-duration mechanism.

Before every earnings print, options prices embed a volatility premium, a bet on how much the stock will move. After the announcement, that premium collapses regardless of the result, forcing dealers and hedgers to unwind positions. The unwind generates mechanical selling pressure that operates independently of what the earnings actually showed. The stock can beat every estimate and still drop because the options unwind is a faster, larger force than the fundamental repricing. The two mechanisms are complementary: the methodology gap prevents consensus from repricing fast enough to generate sustained buying; the event cycle generates mechanical selling in the interim.

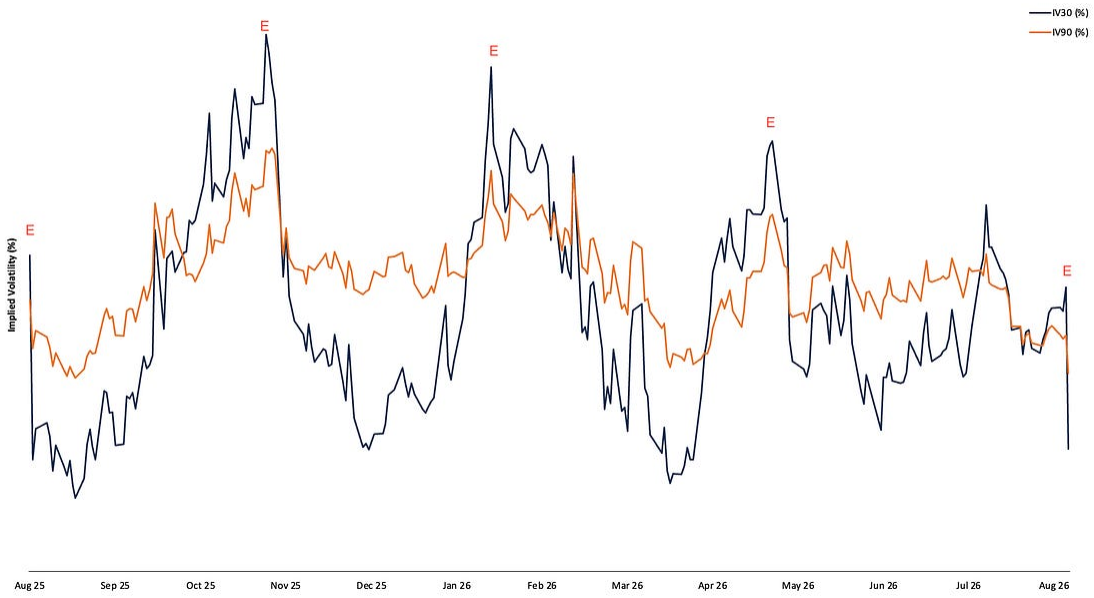
Over the last 13 quarters, options overestimated NVIDIA's earnings move 77% of the time (average implied: ±7.7%; average actual: 5.2%; long straddle returns: -33%, win rate: 17%). The event premium was systematically overpriced. The IV crush, the collapse of near-term implied volatility after the announcement, was the market correcting that mispricing after each event. The mechanism was consistent across all five quarters.

The IV crush across all five quarterly events, measured as earnings-day IV30 versus T+1 IV30 (Market Chameleon 30-day implied volatility, daily close; NVIDIA reports after market close, so earnings-day IV30 is the last pre-announcement reading and T+1 is the first post-announcement close):

Event	EDay IV30	T+1 IV30	Crush (pts)	Crush (%)
Q2 FY26	43.3%	32.8%	10.5	24%
Q3 FY26	53.6%	52.2%	1.5	3%
Q4 FY26	47.9%	44.1%	3.8	8%
Q1 FY27	45.2%	39.0%	6.2	14%
Q2 FY27	41.6%	33.3%	8.3	20%

Source: Market Chameleon IV30, daily close. Cross-verified against Market Chameleon IV term structure data.

Q3 FY26: The smallest crush in the series. Q3 had the highest starting IV (53.6%), an elevated IV90 (48.8%); the term structure never inverted on T+1. The full crush took approximately 10 trading days.



NVIDIA 30-Day vs. 90-Day Implied Volatility (IV30 vs. IV90), Aug 2025 – Aug 2026. IV30 (navy) ramps into and crushes after each earnings event; IV90 (orange) anchors the term structure. Crossovers mark term-structure inversions. Source: Market Chameleon IV30 and IV90, daily close.

The crush magnitude varied, 1.5 to 10.5 points, but the direction never did. The IV30–IV90 spread inverted on T+1 in four of five events (Q2 FY26: +2.3 to -5.7; Q4: +3.0 to -0.2; Q1 FY27: +2.6 to -1.4; Q2 FY27: +2.5 to -3.9), with Q3 FY26 the exception, a large enough stock move to keep near-term vol elevated. The inversion is the fingerprint of the event-driven unwind.

Q2 FY2027 was distinct. Straddle pricing implied ±5.9%; the actual move was +8.7%, only the second time in 13 quarters the stock

exceeded the implied. Prior actual moves (-0.8%, -3.2%, -5.5%, -1.8%) consistently undershot. Q2 was the reversal: the fundamental surprise exceeded what the options market had priced as the worst-case event outcome.

The intraday price action on August 26 made the hierarchy visible in real time. When the press release hit, $96.2 billion, solid beat, nothing transformative. The stock dropped approximately 2%. The IV crush began. The hedge unwind began. The same sequence that produced the -4.9% average T+5 decline across the prior four quarters.

Then Jensen spoke. The 70% FY2028 guide landed. And the stock reversed.

The mechanical selling fired. It was overwhelmed. The framework is not "IV crush caused selloffs and then stopped." The framework is: the guidance gap exceeded the mechanical selling capacity for the first time. The mechanism is constant. The fundamental input changed.

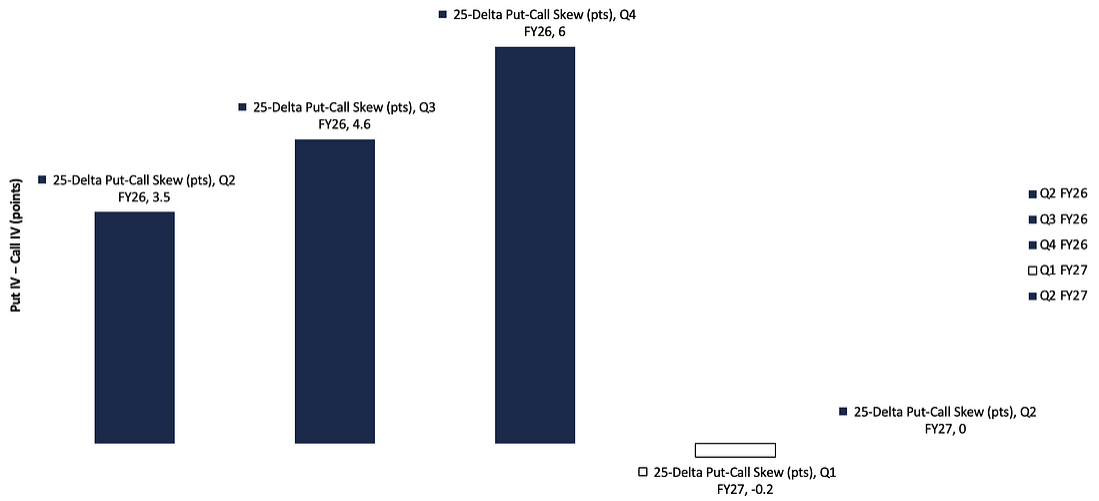
The Positioning Shift

The curse-breaking was not random. The options market's structural posture toward NVIDIA earnings was shifting for two quarters before the fundamental surprise arrived. Not in the mechanism itself, but in the positioning infrastructure around it.

Earnings-day option volume across the five events: 3.11M, 3.35M, 3.28M, 2.94M, 2.58M. The first three averaged 3.25 million contracts. Q2 FY27 was 21% below that average. The positioning was thinning.

The sharper signal was the 25-delta put-call skew, the spread between put and call IV at 25-delta, measuring directional hedging demand. Readings: +3.5, +4.6, +6.0, -0.2, 0.0. Through Q4 FY2026, skew was *rising*, heavier put demand at each event. Then it collapsed to zero. The

options market stopped pricing asymmetric downside into NVIDIA earnings.



NVIDIA Earnings-Day 25-Delta Put-Call Skew, Q2 FY2026 – Q2 FY2027. Institutional downside hedging demand collapsed from +6.0 to 0.0 across the five-event series. Source: Market Chameleon 25-delta put-call skew data.

Put-call volume ratios trace the same arc: 0.73, 0.54, 0.55, 0.46, 0.61. Total open interest peaked at 20.69 million contracts in Q3 FY2026, then dropped 30% to 14.5 million and held there through Q2 FY27.

The critical distinction: the IV crush mechanism itself was not weakening. It registered 8.3 points in Q2 FY2027, the second-largest crush of any event in the series. The two coexist because they measure different things: crush magnitude reflects how richly the pre-event volatility premium was priced, while positioning depth determines how much mechanical selling enforces the unwind.

What declined was the positioning *infrastructure*: the hedging demand, the event-trade volume, the put skew that together constitute the market's structural resistance to fundamental surprises. When Jensen delivered the 70% FY2028 guide, it met a market with less downside

insurance, thinner positioning, and flat skew. The fundamental surprise overwhelmed the mechanical selling, and the structural conditions made that overwhelm easier than it would have been one or two quarters earlier.

This does not mean the positioning data predicted the guide. It means the options market's defensive crouch toward NVIDIA earnings was already relaxing. When the fundamental catalyst arrived in Q2, it met less resistance.

Updated Thesis and Break Conditions

The previous post set four quantified break conditions. Q2 results test three of them.

Non-GAAP gross margin below 72% for two consecutive quarters during the Vera Rubin ramp. Q2 non-GAAP gross margin: 75.0%. Not triggered. Kress guided Q3 at 74%, plus or minus 50 basis points. She guided Q4 as the trough, 71% to 72%. She guided FY2028 recovery to 72% to 73%.

Kress verbatim, August 26, 2026:

> **"We expect margins to bottom in Q4 in the 71% to 72% range before settling at 72% to 73% in fiscal year '28, as executed price increases take effect in Q1."**

A single quarter at 71-72% is within the framework. The break condition requires two consecutive quarters below 72%. Management is explicitly guiding a one-quarter dip and recovery. The content-per-gigawatt thesis, the reason margins hold through architecture transitions, received a direct update on the call. Jensen, August 26:

> **"Since Hopper, our revenue opportunity has grown from roughly $18 billion per gigawatt to $25 billion with Blackwell, to $40 billion with Vera Rubin."**

Each generation grows revenue per unit of deployed power. The mechanism that supports margin stability through transition remains intact.

ACIE/Hyperscale split reversing. Q2 Data Center: ACIE $40 billion, up 25% sequentially and 138% YoY. Hyperscale $49 billion, up 13% sequentially. ACIE continues growing at roughly double Hyperscale's sequential rate. The bear case, that custom silicon displaces GPU demand, requires Hyperscale to reaccelerate while ACIE decelerates. Not triggered.

Any hyperscaler explicitly framing custom silicon as primary AI training compute on two consecutive earnings calls combined with a sequential decline in Hyperscale revenue. No hyperscaler has done this as of the Q2 2026 earnings season. Not triggered.

Vera CPU shipments delayed beyond Q1 FY2028. Vera Rubin is already approximately 20% of Data Center revenue in Q3, per the call. Vera CPU: 1.8x faster on SPEC benchmarks, 5x bandwidth per watt, targeting a $20 billion-plus total server CPU addressable market. Not delayed.

Revised break conditions going forward:

The original four carry forward unchanged. Add one:

FY2028 revenue guide walked back below 60% growth on any subsequent earnings call. Jensen guided 70%, supply-constrained, with demand at approximately double. If NVIDIA walks the full-year guide below 60%, it signals either a demand deterioration or a supply problem not disclosed on this call. Either breaks the thesis.

At 14.81x NTM EV/EBITDA, down from 32.44x a year ago and 16.71x when the Q1 post was published, NVIDIA got cheaper on a forward basis while the thesis got stronger. The multiple compressed because consensus grew into it. The first $36 billion of revision arrived in 24 hours. $45 billion remains.

The forward case: FY2028 mean consensus has moved from $601 billion to $637 billion in 24 hours. It needs to reach $682 billion. The LSEG SmartEstimate at $689 billion and the 8.16% predicted surprise indicate the informed end of the Street is already there. The revision cycle is visible: Bernstein raised its target from $315 to $400. JPMorgan went from $280 to $320. Morgan Stanley moved from $288 to $300. Three of the most-followed NVIDIA analysts repriced within hours of the call. **The estimate revision cycle is the catalyst. The mechanism was documented. The answer key was delivered. The revision is underway.**

Four quarters, the curse held. The fifth time, Jensen broke it himself.

Pushback welcome.

Disclosure: I hold a position in NVIDIA. This material is for informational purposes only and does not constitute investment advice. All figures sourced from: NVIDIA Q2 FY2027 earnings call transcript, August 26, 2026, Jensen Huang and Colette Kress verbatim; LSEG Workspace forward estimates, as of August 27, 2026; Market Chameleon IV30 historical implied volatility data, IV term structure data, 25-delta put-call skew data, and earnings implied move/straddle return data; OptionCharts.io open interest and volume data; NVIDIA Q1 FY2027 earnings call transcript, May 20, 2026; TIKR Terminal NTM EV/EBITDA and period multiples data, August 27, 2026; LSEG historical price data; Yahoo Finance pre-market data, August 27, 2026.